

Public Policy Limitations on Trademark Subject Matter

An EU Perspective

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I INTRODUCTION

The European Union has issued two set of rules on trademarks. The first, the EU Trade Mark Regulation (EUTR), created a single title for protection throughout all of the EU countries (the EU Trade Mark (EUTM)), based on applications to the European Union Intellectual Property Office (EUIPO).¹ The EU Trade Mark Directive (EUTD) harmonized the national trademark laws of the EU countries.²

In the following, we focus on some of the general criteria for protecting EUTMs, as that criteria has developed in the case law from the Court of Justice of the EU (CJEU), the General Court of the EU (GCEU) and the Boards of Appeal of the EUIPO (BoA).³ Over the years, the CJEU played a very active role in developing the EU trademark system, and stressed the societal values and interests in “undistorted competition” within (what eventually became) the EU.⁴ In the same vein, the CJEU has emphasized the public interest in not restricting the availability of descriptive signs or indications (*Freihaltebedürfnis*).⁵ It has also expressed concern about the risk of over-extending trademark protection: for instance, the Court has made it clear that protection should not by itself confer “an unjustified advantage for a single trader,”⁶ and that trademark law offers no protection “against practices inherent in competition.”⁷ Most recently, the EUTR and EUTD have been amended to now explicitly recognize that trademark rules “should be applied

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¹ Regulation (EU) 2017/1001 on the European Union trademark, of June 16, 2017, 2017 OJ L 154, 1–99. The first Regulation was Council Regulation (EC) No. 40/94 of Dec. 20, 1993 on the Community trademark, of Jan. 14, 1994, 1994 OJ L 11, 1–36.

² Directive (EU) 2015/2436 of the European Parliament and of the Council of Dec. 16, 2015, to approximate the laws of the member states relating to trademarks, of Dec. 23, 2015, 2015 OJ L 336, 1–26. The Directive should be implemented in national law by Jan. 15, 2019, cf. art. 54.

³ As we focus on case law from the EU system, we will as a general rule not look into national case law.

⁴ Judgment of the CJEU in Case C-10/89, *SA Cnl-Sucal NV v. Hag GF AG* (Hag II), 1990 ECR I-03711, ECLI:EU:C:1990:359, §13.

⁵ Judgment of the CJEU in Joined Cases C-108/97 and C-109/97, *Windsurfing Chiemsee v. Boots- und Segelzubehör Walter Huber and Franz Attenberger*, ECLI:EU:C:1999:230, §25.

⁶ Judgment of the CJEU in Case C-104/01, *Libertel Groep BV v. Benelux Merkenbureau*, 2003 ECR I-03793, ECLI:EU:C:2003:244, § 54.

⁷ Judgment of the CJEU in Case C-323/09, *Interflora Inc., Interflora British Unit v. Marks & Spencer plc. v. Flowers Direct Online Ltd.*, 2011 ECR I-08625, ECLI:EU:C:2011:604, § 57.

in a way that ensures full respect for fundamental rights and freedoms, and in particular the freedom of expression.”⁸

With these general remarks in mind, we now turn to the specific issues at hand.

II TRADEMARK SUBJECT MATTER IN EU LAW

In keeping with the international standards,⁹ EU law recognizes “any signs” capable of “distinguishing the goods or services of one undertaking from those of other undertakings” and of being “represented” on the Register of the EUIPO as “trade marks.”¹⁰

The scope of trademark protection is thus very wide. However, it is not unlimited. Most importantly for the present purposes, trademark subject matter is delimited by the grounds for refusal in Articles 7 and 8 of the EUTR.¹¹

The various grounds for refusal found in those provisions can be divided into two general groups. The first group limits trademark subject matter on the basis of *public policy* concerns.¹² The second group limits trademark subject matter on the basis of the practical circumstance of delimiting trademark rights from conflicting rights.¹³

The first group of grounds for refusal, those which limit trademark subject matter on the basis of public policy concerns, include the following:

- signs which do not conform to the requirements of Article 4 [distinctiveness and clear and precise representation];
- trade marks which are devoid of any distinctive character;
- trade marks which consist exclusively of signs or indications which may serve, in trade, to designate the kind, quality, quantity, intended purpose, value, geographical origin or the time of production of the goods or of rendering of the service, or other characteristics of the goods or service;
- trade marks which consist exclusively of signs or indications which have become customary in the current language or in the bona fide and established practices of the trade;
- trade marks which are contrary to public policy or to accepted principles of morality;
- trade marks which are of such a nature as to deceive the public, for instance as to the nature, quality or geographical origin of the goods or service.¹⁴

⁸ EUTR, *supra* note 1, Point 21; EUTD *supra* note 2, point 27.

⁹ TRIPS: Agreement on Trade-Related Aspects of Intellectual Property Rights, Apr. 15, 1994, Marrakesh Agreement Establishing the World Trade Organization, Annex 1C, 1869 UNTS 299, 33 ILM 1197 (1994), art. 15 [hereinafter TRIPS Agreement].

¹⁰ EUTR, *supra* note 1, art. 4.

¹¹ Some limitations have also been acknowledged in the international intellectual property right (IPR) conventions, *see* most notably TRIPS Agreement, *supra* note 9, art. 15 (excluding descriptive signs) and art. 17 (allowing for limitations for fair use).

¹² It is important to bear in mind that public policy concerns also have an important role to play in respect of the scope of trademark rights and, in particular, regarding the exceptions to the exclusive rights, *see* in particular EUTR *supra* note 1, art. 14. However, in this chapter we address exclusively public policy limitations on trademark subject matter. *See*, for the “broader view,” *e.g.* MARTIN SENFTLEBEN, *Free Signs and Free Use: How to Offer Room for Freedom of Expression within the Trademark System*, in RESEARCH HANDBOOK ON HUMAN RIGHTS AND INTELLECTUAL PROPERTY 354–76 (Christophe Geiger ed., 2015).

¹³ This group consists of all the so-called relative grounds for refusal in EUTR, *supra* note 1, art. 8 (older trademark rights and geographical indications) and some of the “absolute grounds” for refusal (art. 7(1)(h)–(m): state emblems etc., geographical indications and plant variety denominations).

¹⁴ For the present purposes, the wording of the current provisions do not differ substantially from the wording of the provisions contained in the previous versions of the EUTR and EUTD, *supra* notes 1 and 2. *See further* ANNETTE KUR & MARTIN SENFTLEBEN, EUROPEAN TRADE MARK LAW (2017) § 4.44 et seq.

The listed limitations all constitute absolute grounds for refusal, and accordingly the EUIPO must refuse an application *ex officio* if it falls within one of these categories.¹⁵ As such, the limitations must be considered essential for the EU trademark system to function.

Three different policy objectives underlie the public policy limitations in Article 7(1):

Safeguarding the public domain (III.A).

Limiting the use of offensive signs (III.B).

Preventing consumer deception (III.C).

The CJEU has explained that the grounds for refusal to register a sign according to Article 7(1) must be interpreted in the light of the underlying (individual) public interests.¹⁶ In the following, we examine those underlying policy objectives and describe how they are pursued in Article 7 EUTR. Furthermore, we assess the relative importance of each objective, identify possible overlaps and discuss possible developments in EU case law regarding evaluation of the objectives. This enables us to identify and understand the general public policy and interests lying behind the EU rules on trademark subject matter and the development of the interrelationship between policy objectives and trademark subject matter.

III PUBLIC POLICY LIMITATIONS OF TRADEMARK SUBJECT MATTER

A *Safeguarding the Public Domain*

Most of the grounds for refusal in EUTR Article 7 that are based on public policy concerns aim to exclude certain signs from protection. In this way, they serve to safeguard the *public domain*.¹⁷ From a practical point of view, the most important grounds for refusal to safeguard the public domain are the provisions on *distinctiveness*, and the exclusion from trademark subject matter of *descriptive* signs in Article 7(1)(b)–(d) of the EUTR. These (to a large extent overlapping) provisions constitute the main gatekeepers to trademark protection as signs which do not pass muster cannot be recognized as trademarks.¹⁸ In the following, we give a brief overview of some main points from the extensive case law from the EU Courts and Boards of Appeals.¹⁹ It is important to note at the outset that according to EUTR Article 7(3), Article 7(1)(b)–(d) shall not apply if the trademark *has become distinctive* in relation to the goods or services for which registration is requested as a consequence of the use which has been made. In this way, these limitations may be overcome through use of a sign for goods or services, and the effect on these efforts in perception of the sign by the “the average consumer.”²⁰ The overall framework for determining whether a sign makes it past the post or not is the principle of undistorted competition.²¹

¹⁵ EUTR, *supra* note 1, arts. 42 and 59; art. 7 may also be relied upon before national courts in invalidity proceeding.

¹⁶ Judgment of the CJEU in Case C-48/11, *Lego Juris A/S v. OHIM*, ECLI:EU:C:2010:516, § 43.

¹⁷ As this concept was defined by the Court of Justice of the European Free Trade Association States in *Vigeland*, see *infra* note 61. For 3-D marks and other functional signs, the functionality doctrine in EUTR, *supra* note 1, art. 7(1)(e) excludes functional signs from trademark protection; see Ilanah Fhima, *The Public Interest in European Trade Mark Law*, INTELL. PROP. QUARTERLY 311 (2017), at 314.

¹⁸ KUR & SENFTLEBEN, *supra* note 14, at § 4:55.

¹⁹ See generally *id.*, at para. 4:50 et seq.

²⁰ Judgment of the CJEU in Case C-342/97, *Lloyd Schuhfabrik Meyer & Co. GmbH v. Klijsen Handel BV*, 1999 ECR I-03819, ECLI:EU:C:1999:323 § 26.

²¹ KUR & SENFTLEBEN, *supra* note 14, at § 4:51 with reference to Judgment of the CJEU in Case C-517/99, *Merz & Krell GmbH & Co.*, 2001 ECR I-06959, ECLI:EU:C:2001:510 § 21.

1 *Lack of Distinctive Character*

Marks devoid of distinctive character are excluded from registration pursuant to EUTR Article 7(1)(b).²² According to the CJEU, the public interest underlying Article 7(1)(b) is manifestly inseparable from the essential function of a trademark, which is “to guarantee the identity of the origin of the marked product to the consumer or end-user by enabling him or her, without any possibility of confusion, to distinguish the product or service from others which have another origin.”²³ For a trademark to possess distinctive character, it must be able to identify the product or service as originating from a particular undertaking, and to distinguish that product from those of other undertakings.²⁴ Generally, the CJEU has set the benchmark at a rather low level.²⁵ The Court has repeatedly stated that the same criteria for assessing distinctiveness apply, no matter the type of the mark.²⁶ However, in some instances the Court has recognized the need to take special or broader concerns into account. In *Henkel* (concerning the shape of two tablets, i.e. a 3-D trademark), the Court thus held that only trademarks that *depart significantly* from the norm or customs of the industry and thereby fulfil the essential function of indicating origin, are not devoid of any distinctive character for the purposes of that provision.²⁷ Consequently, signs that conform to or depart only insignificantly from the norm or customs of the industry are left freely available for other enterprises to use. “Distinctive character” is thus delimited by the requirement of availability (*Freihaltebedürfnis*).²⁸ The requirement of a *significant departure* in this way expands the scope of Article 7(1)(b), and thereby limits the reach of trademark protection for marks where the public interest in free and unrestricted competition is particularly pertinent.²⁹ On a similar note, the Court noted in *Libertel*³⁰ (where the issue concerned an orange colour) that in assessing the potential distinctiveness of a given colour as a trademark, regard must be given to the *general interest in not unduly restricting the availability of colours* for other traders offering for sale goods or services of the same type as those for which registration is sought.³¹

²² The requirement of distinctiveness is also included as part of the ground for refusal in EUTR, *supra* note 1, art. 7(1)(a). On the relationship between art. 7(1)(a) and 7(1)(b)–(d), see Judgment of the CJEU in Case C-299/99, *Koninklijke Philips Electronics NV v. Remington Consumer Products Ltd.*, 2002 ECR I-05475, ECLI:EU:C:2002:377, §§ 38–40.

²³ Judgment of the CJEU in Case C-305/14, *Sergiu Lucian Băbășan v. Inspectoratul Județean de Poliție Satu Mare*, 2014 EUR-Lex CELEX 62015CA0200, ECLI:EU:C:2004:532, §§ 27 and 23.

²⁴ Judgment of the CJEU in Joined Cases C-456/01 P & C-457/01 P, *Henkel KGaA v. OHIM*, 2004 ECR I-05089, ECLI:EU:C:2004:258, § 34.

²⁵ *KUR & SENFTLEBEN*, *supra* note 14, at § 4:53.

²⁶ Judgment of the CJEU in Joined Cases C-53/01–C-55/01, *Linde AG, Winward Industries Inc. and Rado Uhren AG*, 2003 ECR I-03161, ECLI:EU:C:2003:206, § 42.

²⁷ Judgment of the CJEU in Joined Cases C-456/01 P & C-457/01 P, *Henkel KGaA v. OHIM*, § 39 (concerning the identical provision in art. 3(1)(b) EUTD).

²⁸ However, according to the GCEU, *Freihaltebedürfnis* does not imply an absolute exclusion of certain signs and therefore single letters – like colours and numbers presented singly – are not excluded per se “as fundamental elements, [that] must remain available to all as a ‘general reserve’ for the purposes of identification, description or other uses,” see Judgment of the GCEU in Case T-23/07, *BORCO-Marken-Import Matthiesen GmbH & Co. KG v. OHIM*, 2009 ECR II-00887, ECLI:EU:T:2009:126, § 48; see also the Judgment of the CJEU in the same case, Case C-265/09 P, *BORCO-Marken-Import Matthiesen GmbH & Co. KG v. OHIM*, 2010 ECR I-08265, ECLI:EU:C:2010:508.

²⁹ See *Flhima*, *supra* note 17, at 318. Naturally, the exclusion effect of these principles depends on where one draws the line between “significant” and “insignificant” differences; see also Irene Calboli, *Chocolate, Fashion, Toys and Cabs: The Misunderstood Distinctiveness of Non-Traditional Trademarks*, INT’L REV. INDUS. PROP. & COMP. L. 1 (2018); Danny Freidmann, *The Bottle Is the Message: Only the Distinctive Survive as 3-D Community Trade Marks*, GRUR INT’L. 1195 (2014).

³⁰ *Libertel*, *supra* note 6.

³¹ *Id.*, para. 60. See also Judgment of the GCEU in Case T-97/08, *KUKA Roboter GmbH v. OHIM*, 2010 ECR II-05059, ECLI:EU:T:2010:396, § 44.

2 Descriptive Signs

The availability requirement is also essential when it comes to descriptive signs excluded from trademark subject matter under EUTR Article 7(1)(c)–(d). In *Windsurfing Chiemsee*³² (regarding the name of the geographical location “Chiemsee”), the CJEU stated that it is in the public interest that signs or indications that may serve to designate the geographical origin of goods or services must remain available to all undertakings as indications of the geographical origin of the category of goods or services concerned.³³

The CJEU has applied an expansive interpretation of EUTR Article 7(1)(c), thereby strengthening the public policy objective of safeguarding the public domain.³⁴ In *Wrigley* (on the word DOUBLEMINT for chewing gum), the Court held that for the Office for Harmonization in the Internal Market (OHIM) (now EUIPO) to refuse to register a trademark under EUTR Article 7(1)(c), it is not necessary that signs and indications composing the mark be in use at the time of the application in a way that is descriptive of goods or services, such as in relation to which the application is filed, or of characteristics of those goods or services.³⁵ It is sufficient that such signs and indications *could* be used for such purposes. A sign must therefore be refused registration under that provision, if at least one of its possible meanings designates a characteristic of the goods or services concerned. Accordingly, Article 7(1)(c) is applicable to more signs than those that are “exclusively descriptive.”

The ground for refusal in Article 7(1)(c) is applicable even when there are more usual signs or indications for designating the same characteristics, regardless of the number of competitors that may have an interest in using the signs or indications of which the mark consists.³⁶

In addition, the CJEU held in *Windsurfing Chiemsee* that the application of the provision similar to EUTR Article 7(1)(c) “does not depend on there being a real, current or serious need to leave a sign or indication free.” In the EUIPO Examination Guidelines (“Guidelines”), that statement has been interpreted as implying that the provision does not require a “konkretes (concrete) Freihaltebedürfnis,” which must imply that an abstract *Freihaltebedürfnis* suffices.³⁷ An abstract *Freihaltebedürfnis* must imply that the delimitation of the scope of freely available signs can be based on more general considerations of reasonableness.

Another indication of the expansive interpretation of Article 7(1)(c) favoured by the CJEU relates to neologisms (new words) composed of known words. Such neologisms may have distinctive character, but usually do not pass muster. In *Campina Melkunie*, for example, the applicant applied for registration of the mark BIOMILD for dairy products, and the mark was used for yoghurt with a mild taste.³⁸ The Court held:

As a general rule, the mere combination of elements, each of which is descriptive of characteristics of the goods or services in respect of which registration is sought, itself remains descriptive of those characteristics within the meaning of Article 3(1)(c) of the Directive [similar to

³² *Windsurfing Chiemsee*, *supra* note 5.

³³ *Id.* §§ 26 and 30. Similar in Judgment of the CJEU in Case C-191/01 P, *OHIM v. Wm. Wrigley Jr. Company*, 2003 ECR I-12447, ECLI:EU:C:2003:579, § 31; and *Linde supra* note 6, § 74.

³⁴ Cf. *Phima supra* note 17, at 318 (regarding EUTR art. 7(1)(b)).

³⁵ Judgment of the CJEU in Case C-191/01 P, *OHIM v. Wm. Wrigley Jr. Company*.

³⁶ *Philips supra* note 22, § 61, and Judgment of the CJEU in Case C-265/00, *Campina Melkunie BV v. Benelux-Merkenbureau*, 2004 ECR I-01699, EU:C:2004:87, § 42.

³⁷ Guidelines for the Examination of European Union Trade Marks and Registered Community Designs, EUIPO, § B.4.1.4.2. (2017), https://euipo.europa.eu/tunnel-web/secure/webdav/guest/document_library/contentPdfs/law_and_practice/designs_practice_manual/WP_1_2017/examination_of_design_invalid_applications_en.pdf.

³⁸ Judgment of the CJEU in Case C-265/00, *Campina Melkunie BV supra* note 36, § 42.

Article 7(1)(c) EUTR] even if the combination creates a neologism. Merely bringing those elements together without introducing any unusual variations, in particular as to syntax or meaning, cannot result in anything other than a mark consisting exclusively of signs or indications which may serve, in trade, to designate characteristics of the goods or services concerned.³⁹

According to the Court, if such a word shall escape the exclusion concerning descriptive signs, there must be:

a perceptible difference between the neologism and the mere sum of its parts: that assumes that, because of the unusual nature of the combination in relation to the goods or services, the word creates an impression which is sufficiently far removed from that produced by the mere combination of meanings lent by the elements of which it is composed, with the result that the word is more than the sum of its parts.⁴⁰

In practice it is nearly impossible to find examples that meet this test.⁴¹ Thus, the effect of the relatively high threshold is to keep most such signs free from trademark protection.⁴²

Summing up, the ability of the distinctiveness and non-descriptiveness requirements in serving as gatekeepers to the trademark system depends on where the lines are drawn between signs that can be accepted and those that cannot. If too much is protected, there is a risk that the values associated with the public domain are being undermined.⁴³ It falls outside of the scope of the current study to discuss the state of the practice in detail. We note, however, as a general point that the focus of the CJEU on the principle of undistorted competition as, in the words of Kur and Senftleben, “the general precept for the examination” regularly applied by the CJEU, and the ability of potential trademark holders to overcome a lack of distinctiveness or the original descriptive nature of a sign, clearly limit the effectiveness of these provisions to serve the general interests in protecting the public domain.⁴⁴ As pointed out by *Anemaet*, the current structure may create “dysfunctional incentives” and make it attractive for companies to invest in appropriating descriptive, cultural and non-traditional signs.⁴⁵ We discuss in Section IV how the legal framework could be improved to better reflect the general interests in keeping certain signs completely outside of reach of trademark protection.

B Limiting the Use of Offensive Signs

EUTR Article 7(1)(f) excludes from registration trademarks that are contrary to public policy or accepted principles of morality. The provision does not limit the use of the expression, as such, but merely prevents anyone from gaining trademark exclusivity to such marks. For this reason, the GCEU has found⁴⁶ that the limitation does not encroach on the right to free expression

³⁹ *Id.* § 39.

⁴⁰ *Id.* § 41. In early cases the threshold was very low, *see* in particular Judgment of the CJEU in Case C-383/99, *Procter & Gamble Company v. OHIM*, 2001 ECR I-06251, ECLI:EU:C:2001:461 (accepting BABY-DRY for diapers); for an overview of case law, *see* KUR & SENFLEBEN, *supra* note 14, at § 4.106 et seq.

⁴¹ *See* Fhima, *supra* note 17, at 319.

⁴² *See* also KUR & SENFLEBEN, *supra* note 14, § 4.107 et seq.

⁴³ Lotte Anemaet, *The Public Domain Is Under Pressure – Why We Should Not Rely on Empirical Data When Assessing Trademark Distinctiveness*, INT’L REV. INTELL. PROP. & COMPETITION L. 303, 304 (2016).

⁴⁴ KUR & SENFLEBEN, *supra* note 14.

⁴⁵ Anemaet, *supra* note 43.

⁴⁶ Judgment of the GCEU in Case T-417/10, *Federico Cortés del Valle López v. OHIM*, 2012 ECLI:EU:T:2012:120 § 26. In the United States, the situation is different, *see* *Matal v. Tam*, 137 S. Ct. 1744 (2017) (finding the related provision in the Lanham Act, 15 USC § 1052(a) and a refusal of the United States Patent and Trademark Office (USPTO) to register the trademark “The Slants” (a derogatory term for persons of Asian descent) to violate the First Amendment). *See* on

recognized in the European Convention on Human Rights, Article 10.⁴⁷ Even though the rule does not aim to restrict anyone from using certain offensive words, figures etc., it does seek to disincentivize the development and use of such expressions. Also, by not providing such marks with a “government stamp” as part of the registration process, any perception that the expression is in some way “supported” or “accepted” by the state is avoided.

1 *The Traditional Scope of the Provision: Offensive Uses*

“Public policy” and “principles of morality” are inherently vague concepts but refer to principles and standards regarded as a fundamental concern to the state and the whole of society.⁴⁸ Examples of types of marks covered by Article 7(1)(f) include words, phrases and signs which, because of their blasphemous, derogatory, racist, discriminatory or other offensive meaning, are perceived as being shocking or offensive. Sometimes the offensive nature is inherent in the word or figure. In other instances, the offensiveness lies in the use of a particular (in other contexts neutral or even positive) word or figure for certain products or services. The test for establishing whether or not a mark is sufficiently shocking is an objective one, and according to EUIPO’s Examination Guidelines, “the concept of morality in Article 7(1)(f) EUTMR is not concerned with bad taste or the protection of individuals’ feelings.”⁴⁹ It is only in those rare instances where *public interests* are at stake that the limits have been trespassed. Practically, in order to fall foul of the provision a trademark must be perceived by the relevant public, or at least a significant part of it, as going directly against the basic moral norms of the society. There is no requirement that the expression is illegal in national law.⁵⁰ The meaning of the mark is as it is perceived by a reasonable consumer with average sensitivity and tolerance thresholds.⁵¹ The nature of the goods for which the mark is being used matters,⁵² but due account should also be given to other persons who, without being concerned by those goods and services, will encounter that sign

this Chapter 13 in this volume. See further on the interface to fundamental rights Christophe Geiger & Leonardo Machado Pontes, *Trade Mark Registration, Public Policy, Morality and Fundamental Rights*, in 20 YEARS OF THE BOARDS OF APPEAL AT EUIPO, ANNIVERSARY BOOK: CELEBRATING THE PAST, LOOKING FORWARD TO THE FUTURE (2017); Centre for International Intellectual Property Studies (CEIPI) Research Paper No. 2017-01, available at SSRN: <https://ssrn.com/abstract=3009170> or <http://dx.doi.org/10.2139/ssrn.3009170>.

⁴⁷ The European Court of Human Rights recently found that Lithuania had violated art. 10 of the European Convention on Human Rights through the banning of a series of commercials that used the expressions “Jesus, what trousers!” and “Dear Mary, what a dress!” (translated from Lithuanian), see *Sekmadienis Ltd. v. Lithuania*, 69317 Eur. Ct. HR 14 (2018). The European Convention on Human Rights and case law from the European Court of Human Rights can be found at https://echr.coe.int/Pages/home.aspx?p=basictexts&c=#n1359128122487_pointer.

⁴⁸ Judgment of the Court of Justice of the European Free Trade Association States, *infra* note 61, para 94. See also Judgment of the GCEU in Case T-1/17, *La Mafia Franchises*, SL v. *European Union Intellectual Property Office* (EUIPO), 2018 ECLI:EU:T:2018:146 § 25.

⁴⁹ Guidelines for the Examination of European Union Trade Marks and Registered Community Designs, EUIPO, § B.4.7.3 (2017).

⁵⁰ See *La Mafia*, *supra* note 48 (where the mere fact that the Mafia as an organization is not illegal did not bring the use of the word outside of the exception).

⁵¹ Judgment of the GCEU in Case T-417/10, *Federico Cortés del Valle López*, *supra* note 46, § 21 (on a figurative mark containing the word “Hijoputa” (meaning “motherfucker” in Spanish)) and *La Mafia*, *supra* note 48 (on “Mafia”). See also Decision of the BoA R 0495/2005-G, *SCREW YOU*, point 21: “The Office should not refuse to register a trade mark which is only likely to offend a small minority of exceptionally puritanical citizens. Similarly, it should not allow a trade mark on the register simply because it would not offend the equally small minority at the other end of the spectrum who find even gross obscenity acceptable. Some people are easily offended; others are totally unshockable.”

⁵² Decision by the BoA R 0495/2005-G (where the BoA noticed that “a person who is sufficiently interested in [sex toys] to notice the trade marks under which they are sold is unlikely to be offended by a term with crude sexual connotations.” The mark was accepted for condoms and sex toys). In the same vein, BoA R-111/2002-4, *Dick Lexic Ltd. v. OHIM* (accepting DICK & FANNY even though these names may be understood as slang expressions for the male and female sexual organs). See also Judgment of the GCEU in Case T-526/09, *PAKI Logistics GmbH v. OHIM*,

incidentally in their day-to-day lives.⁵³ Furthermore, there is an interest in ensuring that children and young people, even if they are not the relevant public of the goods and services in question, do not encounter offensive words in shops accessible to the general public.⁵⁴ Not only negative and racist and derogatory terms etc. are covered; the use of signs with a religious meaning, national symbols or symbols with a spiritual and political value may be also excluded.⁵⁵

Since EUTMs enjoy protection within all of the EU countries, the assessment needs to reflect varying national circumstances. According to the GCEU: “the relevant public within the European Union is, by definition, within a Member State and that the signs likely to be perceived as being contrary to public policy or to accepted principles of morality are not the same in all Member States, inter alia for linguistic, historic, social and cultural reasons.”⁵⁶ For this reason, it is necessary to take account both of the circumstances common to all EU states (such as “the spiritual and moral heritage of the European Union”⁵⁷) and of the particular circumstances of individual member states which are likely to influence the perception of the relevant public within those states.⁵⁸ Account may even be taken of certain groups of people within states; for instance, “the average European consumer of Turkish origin.”⁵⁹

By way of illustration of the traditional application of the provision, the GCEU recently decided in *La Mafia* that a trademark containing the word element “la Mafia” to designate a restaurant chain and alluding to the *Godfather* series of films, was rightfully considered as “particularly shocking or offensive” and as such, rejected as being in breach of public policy.⁶⁰ The Court remarked that the word element “la Mafia” is understood worldwide as referring to a criminal organization originating in Italy, whose activities extend to states other than the Italian Republic, i.e. within the European Union (paragraph 35). The Court takes the view that such criminal activities breach the very values on which the European Union is founded, in particular the values of respect for human dignity and freedom as laid down in Treaty on the Functioning of the European Union (TFEU) Article 2, and Articles 2, 3 and 6 of the Charter of Fundamental Rights of the European Union (paragraph 36). Those values are indivisible and make up “the spiritual and moral heritage of the European Union.” Next, the Court turned its attention to Italy in particular and noted how the word element “la Mafia” has deeply negative connotations there, on account of the serious harm done by that criminal organization to the

2011 ECR II-00346, CLI:EU:T:2011:564 § 17; see generally on the case law KUR & SENFTLEBEN, *supra* note 14, at para. 4.209 and Geiger & Pontes, *supra* note 46.

⁵³ *La Mafia*, *supra* note 48, and PAKI, *supra* note 52, § 16.

⁵⁴ Guidelines for the Examination of European Union Trade Marks and Registered Community Designs, EUIPO, § B.4.7.3 (2017).

⁵⁵ So far, there is no case law from the EU Courts on religious expressions. Inspiration could be found in the case law of the European Court of Human Rights, see *supra* note 47 with reference to *Sekmadienis* (see in particular its points 70 et seq.). See from the BoA Case R-2613/2011-2 on the trademark ATATURK (which is the name of the founder of the modern Turkey; the mark was refused).

⁵⁶ *La Mafia*, *supra* note 48, § 28.

⁵⁷ *Id.*

⁵⁸ *Id.* at § 29. See Geiger & Pontes, *supra* note 46; see also Judgment of the GCEU in Case T-232/10, *Couture Tech Ltd. v. OHIM*, 2011 ECR II-06469, ECLI:EU:T:2011:498 (on a trademark consisting of the coat of arms of the former Union of Soviet Socialist Republics (USSR); the Hungarian Criminal Code had banned certain uses of “symbols of despotism,” including the hammer and sickle and the five-point red star).

⁵⁹ Decision of the BoA Case R-2613/2011-2 – ATATURK, § 31; see KUR & SENFTLEBEN, *supra* note 14, at § 4.210 for more examples including Decision of the BoA R 176/2004-2, *Elektron-Bremen v. OHIM* (on BIN LADIN, which was refused).

⁶⁰ *La Mafia*, *supra* note 48, in particular § 40. See Eleonora Rosati, *General Court Confirms that “La Mafia se Sienta a la Mesa” Cannot Be a Trade Mark on Public Policy Grounds*, 13(6) J. INTELL. PROP. L. & PRAC. 432 (2018) (pointing out how practices vary).

security of Italy (paragraph 37). On this basis, the Court concluded that the BoA had rightly found that “the word element ‘la Mafia’ in the contested mark would manifestly bring to mind, for the relevant public, the name of a criminal organisation responsible for particularly serious breaches of public policy.”⁶¹

2 *Post-Vigeland*: Safeguarding the Public Domain

In the recent *Vigeland* decision, the European Free Trade Area (EFTA) Court⁶² introduced a completely new perspective on the provision.⁶³

The case concerned an application by the municipality of Oslo to register works of art by the Norwegian artist Gustav Vigeland as trademarks. The copyright to the works in question (sculptures and visual works) had lapsed, and the works therefore had passed to the public domain. The Norwegian Patent Office refused most of the applications, partly because of lack of distinctiveness and partly because the marks were found to be descriptive or consisting exclusively of shapes giving substantial value to the goods. On appeal, the Norwegian Board of Appeal for Intellectual Property decided to ask the EFTA Court whether the trademark registration of the works could conflict with the prohibition on public policy or accepted principles of morality. The Court answered in the affirmative. In reaching this conclusion it held:

registration of a sign as a trade mark may only be refused as contrary to public policy ... in exceptional circumstances. An artwork may be refused registration, for example, under the circumstances that its registration is regarded as a genuine and serious threat to certain fundamental values or where the need to safeguard the public domain, itself, is considered a fundamental interest of society. It is for the referring body to determine whether those requirements are met, in light of the relevant matters of fact and law.⁶⁴

The Court points out that the rejection of sculptures, etc. as trademarks does not prevent anyone from using the sign in question in the course of trade (paragraph 101). In this way, the Court indicated that it saw the exclusivity offered by trademark law to lie at the heart of the rejection of protection.⁶⁵ In other words, it is *trademark protection itself* which is hereby acknowledged as

⁶¹ *La Mafia*, *supra* note 48, § 38. It did not matter that the trademark was intended to allude to the *Godfather* films and not to the criminal organization as such, since the mark would anyway convey “a globally positive image of that organisation and, therefore, trivialises the serious harm done by that organisation to the fundamental values of the European Union” (§ 47). Nor did it matter that several EU and even Italian trademarks contained the word element “Mafia” (§§ 49 and 50).

⁶² Judgment of the EFTA Court Case E-05/16, Norwegian Board of Appeal for Industrial Property Rights 2017 (appeal from the Municipality of Oslo, <https://report.eftacourt.int/2017/e516/>).

⁶³ For background, see Lionel Bentley, *Trade Mark Protection of Public Domain Works: A Comment on the Request for an Advisory Opinion of the Court of Justice of the European Free Trade Association States in Case E-05/16 – Norwegian Board of Appeal for Industrial Property Rights – Appeal from the Municipality of Oslo*, EUROPEAN COPYRIGHT SOCIETY, Nov. 1, 2016, <https://europeancopyrightsociety.org/2016/11/02/515/>; Geiger & Pontes, *supra* note 46, at 11 et seq.; Senftleben, *supra* note 12, at 357 et seq. (with references to national case law including from Germany, where the approach taken by the EFTA Court had been rejected). Also both the Comment and Martin Senftleben note that the Judgment of the EFTA Court finds some resonance in the Opinions of the Advocate Generals in Case 299/99, *Koninklijke Philips Electronics NV v. Remington Consumer Products Ltd*, 2001 ECLI:EU:C:2001:52 point 31 and Case C-283/01, *Shield Mark BV v. Joost Kist h.o.d.n. Memex*, 2003 ECLI:EU:C:2003:197 point 52.

⁶⁴ *Vigeland*, *supra* note 62, § 96.

⁶⁵ In its decision, the Norwegian Board of Appeal followed the decision of the EFTA Court closely and found that the works in question must be considered to hold “significant cultural value” (point 22) and that protection would be considered as being contrary to ordre public. See the decision at <https://kfr.no/attachments/6bd29736d2718b937aac81519540b3d207037e52/250-20190315013326599713.pdf> and Yann Basire, *Public Domain versus Trade Mark Protection: The Vigeland Case*, 13(6) J. INTEL. PROP. L. & PRACTICE 434 (2018).

having the potential to contravene public policy and morality, rather than the use of the sign and the message contained therein.

As pointed out by Senffleben, the decision is remarkable in representing an unusually firm determination to defend the public domain⁶⁶ as a fundamental value in trademark law.⁶⁷ Currently, the exact scope of the decision is unclear, however. The Court was very careful to cabin the effects of the decisions, and it was clearly indicated that the limitation does not include the use of each and every work of art as a trademark (such use continues to be normally allowed for). It is just in those rare circumstances where trademark law is being relied upon to (as it were) *reclaim* exclusivity in “certain pieces of art [which] . . . enjoy a particular status as prominent parts of a nation’s cultural heritage, an emblem of sovereignty or of the nation’s foundations and values” (paragraph 92, see also paragraph 102) that protection amounts to “a genuine and sufficiently serious threat to a fundamental interest of society” (operative part point 3) and is cut off. Even though this may only happen in few instances, those are arguably important as they would allow individuals to propertize works of general cultural importance.

For the present study, the decision is particularly important because it introduces public policy and principles of morality as a means of safeguarding the public domain. According to such a reading the judgment should (within a very narrow window) be seen as a corrective mechanism that remedies the structural inability of the traditional balancing tools found in trademark law for the purpose of safeguarding the public domain (*see* above Section III.A on distinctiveness etc.). As noted explicitly by the EFTA Court, the “problem” with the traditional principle of distinctiveness in this regard is that it may be *overcome* through the use of the sign by a company (*see* above Section III.A), and thus leave the use of such signs to the limitation which allows for the use in accordance with honest practices. Even though acquiring distinctiveness might not be possible in practice for all of the works of art in question (fame as a work of art does not suffice), had the Court rejected the works of art because of lack of distinctiveness, it would have opened the door to the municipality of Oslo to claim trademark protection based on the use of the works of art as signs that indicate goods or services originating from the municipality. By opting for the rule on public policy and morality instead of distinctiveness, the Court side-stepped the test of distinctiveness and ruled out that the unilateral actions of the municipality could lead to trademark protection.⁶⁸ Naturally, the assessment under Article 7(1)(f) could change over time, but the point of reference would be the public interest and not the consumer conception as created by the marketing efforts of the potential rightholder.⁶⁹ The decision in this way reflects both the broad and imprecise nature of the concepts of “public policy and principles of morality” and the strength of the public policy reasons underlying the protection of the public domain; *see* more below, in Section IV.

⁶⁶ Defined in § 66 in the following way: “The public domain entails the absence of individual protection for, or exclusive rights to, a work. Once communicated, creative content belongs, as a matter of principle, to the public domain. In other words, the fact that works are part of the public domain is not a consequence of the lapse of copyright protection. Rather, protection is the exception to the rule that creative content becomes part of the public domain once communicated.”

⁶⁷ Martin Senffleben, *Vigeland and the Status of Cultural Concerns in Trade Mark Law – The EFTA Court Develops More Effective Tools for the Preservation of the Public Domain*, 6 INT’L REV. INTELL. PROP. & COMPETITION L. 683 (2017). *See* on the case also Basire, *supra* note 65.

⁶⁸ *See* Basire, *supra* note 65 (criticizing the Court for applying the provision on public policy and morality excessively and suggesting a more traditional approach with a focus on distinctiveness).

⁶⁹ *See* in particular Anemaet, *supra* note 43.

C Preventing Consumer Deception

The objective of preventing deception of consumers is primarily served by the Article 7(1)(g) EUTR, according to which trademarks of such a nature as to deceive the public, for instance as to the nature, quality or geographical origin of the goods or service, shall not be registered. The exclusion regarding deceptive marks reflects the general interest in consumer protection.⁷⁰ The fact that deceptive trademarks have not generated much case law or scholarly debate may indicate that deception is not an important instrument to delimit trademark subject matter.

The CJEU found in *Elizabeth Emanuel* that “deception” within the meaning of Article 3(1)(g) of the First Trademark Directive (the wording of which is identical to that of EUTR Article 7(1)(g)) presupposes the existence of “actual deceit or a sufficiently serious risk that the consumer will be deceived.”⁷¹ In the specific case, the designer Elizabeth Emanuel formed a company called “Elizabeth Emanuel PLC” and assigned to that company her business of designing and selling clothing, and all assets of the business including its goodwill and an application to register the trademark ELIZABETH EMANUEL, registered in 1997. The registered trademark was assigned to another company which filed a new application for registration of the trademark ELIZABETH EMANUEL. The designer Elizabeth Emanuel then lodged an application to revoke the registered trademark “Elizabeth Emanuel” on the grounds that the trademark was deceptive. The Court held that the trademark ELIZABETH EMANUEL would not deceive the public, because it was the name of the designer who originally used the mark but was no longer associated with the trademark owner.⁷²

The Court further stated that if the owner of the trademark ELIZABETH EMANUEL has an intention of making consumers believe that Ms Emanuel is still the designer of the goods bearing the mark or that she is involved in their design, that might be fraudulent. However, that would not invalidate a trademark right consisting of the name ELIZABETH EMANUEL on grounds of deception or affect the prospects of such a trademark being registered.⁷³ Accordingly, a deceptive use of a trade may be fraudulent, but the trademark in itself is not deceptive.⁷⁴

As it follows from the judgment, the threshold (“actual deceit or a sufficiently serious risk that the consumer will be deceived”) is high, and the mere fact that a trademark includes information that is not actually correct does not in itself make the mark deceptive. The high threshold for deception can be compared to the main rule for infringement in EUTR Article 9(2)(b), according to which infringement requires “a likelihood of confusion on the part of the public; the likelihood of confusion includes the likelihood of association between the sign and the trade mark.” According to established case law, this criterion shall *not* (as in the case of deceptive marks) be interpreted as “actual confusion or a sufficiently serious risk that the consumer will be confused.”

Prima facie, it could be argued that “deception” resembles “misleading action” which is harmonized by Article 6 of the Unfair Commercial Practices Directive (UCPD).⁷⁵ The UCPD stipulates that

⁷⁰ Judgment of the CJEU in Case C-259/04, *Elizabeth Florence Emanuel v. Continental Shelf 128 Ltd.*, 2006 ECR I-03089, ECLI:EU:C:2006:215 § 46.

⁷¹ *Id.*, § 47.

⁷² *Id.*, § 51.

⁷³ *Id.*, § 50.

⁷⁴ See Ron Moscona, *What Really Matters – The Designer’s Name or the Name on the Label?*, 29(4) EURO. INTELL. PROP. REPORTS 152 (2007).

⁷⁵ Directive 2005/29/EC of the European Parliament and of the Council of May 11, 2005, concerning unfair business-to-consumer commercial practices in the internal market, OJ L 149, 22.

a commercial practice shall be regarded as misleading if it contains false information and is therefore untruthful or in any way, including overall presentation, *deceives or is likely to deceive the average consumer*, even if the information is factually correct . . . and in either case causes or is likely to cause him to take a transactional decision that he would not have taken otherwise.⁷⁶

Accordingly, a “misleading action” requires only likelihood to deceive and likelihood that the average consumer will take a transactional decision that they would not have taken otherwise and not, as in the EUTR, actual deceit or a sufficiently serious risk that the consumer will be deceived. The lower threshold of misleading action in the UCPD is in conformity to the statement of the CJEU in the *Elizabeth Emanuel* judgment, where the court recognized that the use of a trademark can be fraudulent (misleading) without invalidating the trademark due to deception.

The high threshold of deception in the EUTR is reflected in the EUIPO Examination Guidelines, with two assumptions. First, there is no reason to assume that a trademark is intentionally applied for in order to deceive customers. No deceptiveness objection should be raised if a non-deceptive usage of the mark is possible vis-à-vis the goods and services specified; i.e. an assumption is made that non-deceptive use of the sign will be made if possible. Second, the average consumer is reasonably attentive and should not be regarded as particularly vulnerable to deception. An objection will generally only be raised where the mark leads to a clear expectation that is patently contradictory to, for instance, the nature or quality or geographical origin of the goods.⁷⁷

There is a delicate interface between the grounds for refusal in EUTR Article 7(1)(c)–(d) on descriptive signs and the ground for refusal in Article 7(1)(g) on deception. A BoA Decision concerned the registration of the term ARCADIA, which was applied for in respect of wines, spirits (beverages) and liqueurs in Class 33.⁷⁸ The term was refused registration under Article 7(1)(c) because it was descriptive of the geographical origin of wines: Arcadia is a Greek region known for its wine production. The applicant subsequently offered to limit the specification of goods to exclude wines made in Greece. However, according to the BoA, that would render the trademark deceptive under Article 7(1)(g), since it would convey false information as to the origin of the goods.⁷⁹

An essential difference between the ground for refusal in respect of descriptive signs and the ground for refusal in respect of deceptive signs is that the former is subject to expansive interpretation whereas the latter is subject to restrictive interpretation. This difference indicates that in the interpretation of EU trademark law, the policy objective of preventing deception of consumers appears less important than the objective of safeguarding the public domain.

⁷⁶ The concept of “misleading” is clarified by the CJEU in Judgment of the CJEU in Case C-281/12, *Trento Sviluppo srl, Centrale Adriatica Soc. coop. arl v. Autorità Garante della Concorrenza e del Mercato*, 2013 ECLI:EU:C:2013:859; and in Judgment of the CJEU in Case C-453/10, *Jana Pereničová, Vladislav Perenič v. SOS financ spol. s r.o.*, 2012 ECLI:EU:C:2012:144.

⁷⁷ Guidelines for the Examination of European Union Trade Marks and Registered Community Designs, EUIPO, § B.4.8.1.

⁷⁸ Decision of the BoA, R 246/1999 – ARCADIA (2000).

⁷⁹ Guidelines for the Examination of European Union Trade Marks and Registered Community Designs, EUIPO, § B.4.2.7.5.

IV FINAL REMARKS AND CONCLUSION

In our examination of public policy limitations on trademark subject matter, we find that the pertinent limitations are based on one or more of the following three public policy values:

- Safeguarding* the public domain.
- Limiting* the use of offensive signs.
- Preventing* deception of consumers.

Traditionally, the three policy values have been closely connected to specific grounds for refusal. Safeguarding the public domain has been pursued by the provisions on distinctiveness and descriptive sign (EUTR Article 7(1)(a)–(d)), limiting the use of offensive signs by the provision on public policy and principles of morality (EUTR Article 7(1)(f)), and preventing deception of consumer by the provision on deception (EUTR Article 7(1)(g)). The one-to-one relation between public policy values and grounds for refusal in trademark law is flawed, as clearly illustrated by *Vigeland* where the provision on public policy and morality – which typically is used for limiting the use of offensive signs (as in *La Mafía* and *Atatürk*) – instead was used to safeguard the public domain.

Vigeland illustrates the pre-eminent nature of the interest in safeguarding the public domain which runs as an undercurrent in EU trademark law, affecting both the rules and principles we have focused on here and the exceptions found in EUTR Article 14. For this reason, it is both remarkable and regrettable that neither the Regulation nor the Directive explicitly make it clear that the application of the provisions in trademark law should take into account the overall societal interests of all interested stakeholders, including trademark holders, competitors, private users and society in general. As we have shown in our analyses, the current rules and principles leave room for courts to manoeuvre to factor all interests into the analysis. Thus in *Henkel*,⁸⁰ the CJEU required that a registrable trademark shall depart *significantly* from the norm or customs of the sector; otherwise, it shall be devoid of any distinctive character. The CJEU used a similar expansive interpretation in respect of neologisms composed of known words.⁸¹ For colours, the competition interest in access should be taken into account.⁸² Presently, there is no clear framework in the EU trademark system for courts to develop such notions further.⁸³

We finally note that an important vehicle for the future developments in these areas may have been provided in 2015 by the explicit inclusion of *the fundamental rights interests* in the EUTR and EUTD. As pointed out above in Section I, it now follows explicitly from the Recitals that courts should ensure that the trademark rules are applied in a way that ensures full respect for fundamental rights and freedoms. Several commentators have linked the safeguarding of the public domain to free speech. Senffleben, for instance, describes the public domain as offering “a reservoir of unprotected and protected signs that are available for political, artistic and commercial speech.”⁸⁴ In a similar vein, Anemaet notes that the public domain is “essential

⁸⁰ *Henckel*, *supra* note 24.

⁸¹ *Campina*, *supra* note 38.

⁸² *Libertel*, *supra* note 6.

⁸³ KUR & SENFFLEBEN, *supra* note 14 at § 4.74 (pointing out that the Trade Mark Study 2016 suggested it should be made clear in the Preamble that due account must be taken of interests of all parties involved – consumers, the general public as well as competitors; see the Study, https://ip.mpg.de/fileadmin/IP/pdf2/mpi_final_report_with_synopsis.pdf. However, the proposal was not implemented).

⁸⁴ Senffleben, *supra* note 12, at 355. See also Rochelle Cooper Dreyfuss, *Reconciling Trademark Rights and Expressive Values: How to Stop Worrying and Learn to Love Ambiguity*, in *TRADEMARK LAW AND THEORY – A HANDBOOK OF CONTEMPORARY RESEARCH* 261 (Graeme B. Dinwoodie & Mark David Janis eds., 2008). On the “public domain” in

to ensure free and fair competition, freedom of speech and political and artistic freedom of expression” and calls for a more normative application of the test of distinctiveness to protect these interests.⁸⁵ As argued elsewhere, it would also seem that the “constitutionalization” would serve to support claims that, for instance, signs of cultural importance should not be protected.⁸⁶ To a large extent, these current trends of EU trademark law would not imply a change of the basic and well-known principles of trademark law. It would rather be a reminder of those principles and the policy values underlying them.

trademark law, see also Jennifer Davis, *Protecting the Common: Delineating a Public Domain in Trade Mark Law*, in *TRADEMARK LAW AND THEORY – A HANDBOOK OF CONTEMPORARY RESEARCH* 345 (Graeme B. Dinwoodie & Mark David Janis eds., 2008).

⁸⁵ Anemaet, *supra* note 43, at 304.

⁸⁶ Jens Schovsbo, *Mark My Words – Trademarks and Fundamental Rights in the EU*, 8 UC IRVINE LAW REVIEW 555 (2018).